

competitive edge to newer players.

“Sony (PlayStation) and Microsoft (Xbox) have become the dominant players for the console market,” Alejandro writes. “But they face increasing competition from game developers who skip the console route. The latter instead go directly to consumers via the internet or through apps.

“Therefore,” Alejandro continues, “it’s extremely interesting to dissect Electronic Arts, an American video game developer, and its path to 100-bagger status. Its success provides insights into how to succeed when faced with the uncertainty of both technology and fickle human tastes.”

It seemed to do this by creating hit after hit, and by securing key licenses to valuable franchises, thereby keeping competitors out.

First, you can see the unpredictable nature of the business in its erratic profitability. Profit margins and return on assets jumped around quite a bit from year to year, following game hits and misses and new or update releases.

EA's wild profit ride

Date	Profit	
	margin	ROA
12/31/90	8.5%	13.2%
12/31/91	10.0%	17.5%
12/31/92	10.6%	17.3%
12/31/93	10.6%	17.2%
12/31/94	11.0%	156.0%
12/31/95	8.7%	10.7%
12/31/96	76.0%	8.5%
12/31/97	7.9%	8.7%
12/31/98	5.8%	7.0%
12/31/99	9.6%	11.5%
12/31/00	0.8%	0.8%
12/31/01	2.3%	2.1%
12/31/02	14.2%	14.4%
12/31/03	17.6%	14.9%
12/31/04	18.5%	13.2%
12/31/05	9.0%	6.0%
12/31/06	2.7%	1.7%